

INVESTMENT MEMO

Company Sector : Fintech-Payment Infrastructure

Stage : Seed

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Recommandation : Proceed with investment, subject to due diligence on compliance, technology and data security.

Investment thesis- internal

PayLink Africa is a B2B payment infrastructure that enables African SMEs to accept digital payments (mobile money, cards, wallets), automate invoicing and collections, and track payments on a single interface. The core thesis is that most existing payment gateways are optimised for enterprise customers, not small businesses. They propose a simple integration and SME-friendly pricing to capture a large portion of the market.

Our conviction is primarily driven by :

- A strong traction (CAGR +293%; MoM 13%)
- Compelling unit economics (LTV= 30, Churn rate < 2,90%)
- Team market fit (CEO ex-Flutterwave , CTO ex-MFS Africa and Sales Ex-Jumia)

The main obstacles lie in legal issues, dependence on mobile money companies, and the competitive risk posed by the industry's giants.

Company overview

Founded in 2023, the start up provides a single API through which SMEs can accept mobile money, card payments, and wallets without dealing with separate integrations. The company currently operates in Kenya, Ghana and Cameroon

The vision long term is to launch SME credit which could expand revenues.

Market context

With the huge adoption of mobile money, the African online payment market is booming, with exponential annual growth. However, some businesses do not have access to payment solutions for the following reasons: :

- Multi-operator integration is technically complex.
- Existing gateway such as Flutterwave prioritise enterprise with high volume of transaction

The estimated TAM for SME payment across Kenya, Ghana and Cameroon is around 2.3 billion USD. Regarding the estimation of SAM it's be around 422 millions dollars in which we can expect 1% to 2% as the estimate of SOM.

Problem & solution fit

SMEs must integrate separately with M-Pesa, Airtel Money, card processors, and wallet providers. Many SMEs lack technical expertise and rely on manual operations.

The start-up provides as solution :

- A unified API that abstracts all payment methods
- A consolidated dashboard for reconciliation
- Fraud detection and dispute management tools

Product & technology

The core technology is an API layer built in Node.js and Python, hosted on AWS. The product performance is currently stable (99.95% uptime), and documentation quality is high. Planned features include Payflow Lending for SME working capital loans based on transaction history.

Note : Technical dependency on AWS exposes the startup to service outages beyond their control.

Traction & KPIs

MRR : MoM 13% over 2 years

Active SME clients : 5100

Runway : Around 13 months

Average Gross Margin : 72%

LTV CAC : 30

LTV : 1565

Payback period : Around 1 month

Overall, the indicators demonstrate the start-up's solid performance. These various indicators show that fundraising is not being used to keep up, but rather to finance its expansion. Traction is unusually strong for early-stage African fintechs. The start-up has a low risk of exhausting its capital in the short term.

Financials & use of funds

The current financial situation is the following :

- Revenue (Current year) YTD : 2.6 millions dollars
- Monthly burn : 165k dollars

Use of the funds	%
Technology and infrastructure scaling	35%
Sales and customer support	25%
Licence & compliance	20%
Market Expansion & Team	20%

Risks

These are the main risk that we have to mitigate :

- Multi-country licensing required. Risks of sudden policy changes.
- High dependency on mobile money operators; potential API downtime.
- Larger players may enter the SME segment aggressively.
- Ability to maintain T+1 settlement at higher volumes is unproven.

Analyst internal recommendation: Mitigate by securing redundancy providers and strengthening compliance function.

Exit opportunities

The start up is more likely to be acquired by industry giants in Africa. IPO is unlikely.

Final Investment recommendation

Given the strong traction and all the positive metrics, we recommend investing \$3,000,000 for a 20% equity stake.

This investment is contingent upon confirming the following key points during Due Diligence (DD):

- Stress test of settlement flows and liquidity management.
- Verification of key merchant contracts and retention mechanisms.
- Capital release confirmation by tranche: 50% upon signing, and the remaining 50% upon deployment of the infrastructure required for scaling.